

**SUBSTITUTE FOR
HOUSE BILL NO. 5046**

A bill to amend 1961 PA 236, entitled
"Revised judicature act of 1961,"
by amending sections 3232 and 3240 (MCL 600.3232 and 600.3240),
section 3240 as amended by 2019 PA 130.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3232. **(1)** The ~~officer or~~ person making the sale **under**
2 **section 3216** shall ~~forthwith~~ **promptly** execute, acknowledge, and
3 deliver ~~to~~ to each purchaser a deed of the premises bid off by ~~him,~~
4 ~~and if the person.~~ **If** the lands ~~are situated~~ **property is located** in
5 ~~several counties he~~ **more than 1 county, the person** shall make a
6 separate ~~deeds of~~ **deed for** the lands ~~property~~ in each county ~~and~~
7 specify ~~therein~~ **in each deed** the precise ~~amounts~~ **amount** for which
8 each parcel of land ~~therein described~~ **in the deed** was sold. ~~And he~~



(2) The person making the sale shall ~~endorse upon~~ state in each deed **executed under subsection (1)** the time when the ~~same deed~~ will become operative, ~~in case~~ **subject to subsection (5)**, if the premises are not redeemed according to law. ~~Such~~

(3) The deed or deeds ~~shall,~~ **executed under subsection (1) must**, as soon as practicable ~~and~~ within 20 days after ~~such the~~ sale, be deposited with the register of deeds of the county in which the ~~land therein~~ **property** described **in the deed** is situated, ~~and the~~ **located**. The register shall ~~endorse thereon~~ **do all of the following:**

(a) **Endorse on the deed** the time the ~~same deed~~ was received. ~~and for the~~

(b) **To** better ~~preservation thereof,~~ **preserve the deed**, record the ~~same deed~~ at length in a book to be provided in ~~his~~ **the register's** office for that purpose. ~~and shall index~~

(c) **Index** the ~~same deed~~ in the regular index of deeds. ~~and the~~

(4) The fee for recording the ~~same shall~~ **deed under subsection (3) must** be included among the other costs and expenses **of the foreclosure as** allowed by law. ~~In case such~~

(5) Both of the following apply for a deed executed under subsection (1):

(a) If the deed is recorded within 20 days after the sale as required under subsection (3), the applicable redemption period runs from the date of the sale, and the interest on the amount that was bid begins to accrue from the date of the sale.

(b) If the deed is not recorded within 20 days after the sale as required under subsection (3), the sale is not invalid, but the applicable redemption period begins on the date the deed is



1 recorded, and the interest on the amount that was bid begins to
2 accrue from the date the deed is recorded.

3 (6) If the premises ~~shall be described in a deed recorded~~
4 under subsection (3) is redeemed, the register of deeds shall, at
5 the time of destroying ~~such the~~ deed, ~~as provided in under~~ section
6 3244, ~~of this chapter,~~ write on the face of ~~such the~~ record the
7 word "Redeemed", stating ~~at what the~~ date ~~such the~~ entry is made,
8 and signing ~~such the~~ entry with ~~his the~~ register's official
9 signature.

10 Sec. 3240. (1) A purchaser's deed under section 3232 is void
11 if the mortgagor, the mortgagor's heirs or personal representative,
12 or any person that has a recorded interest in the property lawfully
13 claiming under the mortgagor or the mortgagor's heirs or personal
14 representative redeems the entire premises sold by paying the
15 amount required under subsection (2) and any amount required under
16 subsection (4), within the applicable time limit prescribed in
17 subsections (7) to (12), to the purchaser or the purchaser's
18 personal representative or assigns, or to the register of deeds in
19 whose office the deed is deposited for the benefit of the
20 purchaser.

21 (2) The amount required to be paid under subsection (1) is the
22 amount that was bid for the entire premises sold, interest, from
23 the date of the sale, **except as provided in section 3232(5)**, at the
24 interest rate provided for by the mortgage, the amount of the
25 sheriff's fee paid by the purchaser under section 2558(2)(q), and
26 an additional \$5.00 as a fee for the care and custody of the
27 redemption money if the payment is made to the register of deeds.
28 Except as provided in subsection (14), the register of deeds shall
29 not determine the amount necessary for redemption. The purchaser



1 shall provide an affidavit with the deed to be recorded under this
2 section that states the exact amount required to redeem the
3 property under this subsection, including any daily per diem
4 amounts, and the date by which the property must be redeemed, ~~shall~~
5 **subject to section 3232(5), must** be stated on the certificate of
6 sale. The purchaser may include in the affidavit the name of a
7 designee responsible on behalf of the purchaser to assist the
8 person redeeming the property in computing the exact amount
9 required to redeem the property. The designee may charge a fee of
10 not more than \$250.00 as stated in the affidavit and may be
11 authorized by the purchaser to receive redemption money. The
12 purchaser shall accept the amount computed by the designee.

13 (3) If a distinct lot or parcel separately sold is redeemed,
14 leaving a portion of the premises unredeemed, the deed is void only
15 to the redeemed parcel or parcels.

16 (4) If, after a sale under section 3216, the purchaser, the
17 purchaser's heirs or personal representative, or any person
18 lawfully claiming under the purchaser or the purchaser's heirs or
19 personal representative pays taxes assessed against the property,
20 amounts necessary to redeem senior liens from foreclosure,
21 condominium assessments, homeowner association assessments,
22 community association assessments, or premiums on an insurance
23 policy covering any buildings located on the property that under
24 the terms of the mortgage it would have been the duty of the
25 mortgagor to pay if the mortgage had not been foreclosed and that
26 are necessary to keep the policy in force until the expiration of
27 the period of redemption, the property may be redeemed only on
28 payment of the amount specified in subsection (2) plus the amounts
29 specified in this subsection with interest on the amounts specified



1 in this subsection from the date of the payment to the date of
2 redemption at the interest rate specified in the mortgage. This
3 subsection does not apply unless all of the following are filed
4 with the register of deeds with whom the deed is deposited:

5 (a) An affidavit by the purchaser or someone in his or her
6 behalf who has knowledge of the facts of the payment showing the
7 amount and items paid.

8 (b) The receipt or copy of the canceled check evidencing the
9 payment of the taxes, amounts necessary to redeem senior liens from
10 foreclosure, condominium assessments, homeowner association
11 assessments, community association assessments, or insurance
12 premiums.

13 (c) An affidavit of an insurance agent of the insurance
14 company stating that the payment was made and what portion of the
15 payment covers the premium for the period before the expiration of
16 the period of redemption.

17 (5) If the redemption payment in subsection (4) includes an
18 amount used to redeem a senior lien from a nonjudicial foreclosure,
19 the mortgagor has the same defenses against the purchaser with
20 respect to the amount used to redeem the senior lien as the
21 mortgagor would have had against the senior lien.

22 (6) The register of deeds shall indorse on documents filed
23 under subsection (4) the time they are received. The register of
24 deeds shall record the affidavit of the purchaser only and shall
25 preserve in his or her files the recorded affidavit, receipts,
26 insurance receipts, and insurance agent's affidavit until
27 expiration of the period of redemption.

28 (7) Subject to section 3238, for a mortgage executed on or
29 after January 1, 1965, of commercial or industrial property, or



1 multifamily residential property in excess of 4 units, the
2 redemption period is 6 months, from the date of the sale, **except as**
3 **provided in section 3232(5)**.

4 (8) Subject to subsections (9) to (11) and section 3238, for a
5 mortgage executed on or after January 1, 1965, of residential
6 property not exceeding 4 units, if the amount claimed to be due on
7 the mortgage at the date of the notice of foreclosure is more than
8 66-2/3% of the original indebtedness secured by the mortgage, the
9 redemption period is 6 months, **subject to section 3232(5)**.

10 (9) For a mortgage of residential property not exceeding 4
11 units, if the property is abandoned as determined under section
12 3241, the redemption period is 1 month, **subject to section 3232(5)**.

13 (10) If the property is abandoned as determined under section
14 3241a, the redemption period is 30 days, **subject to section**
15 **3232(5)**, or until the time to provide the notice required by
16 section 3241a(c) expires, whichever is later.

17 (11) Subject to section 3238, for a mortgage of property that
18 is used for agricultural purposes, the redemption period is 1 year,
19 from the date of the sale, **except as provided in section 3232(5)**.

20 (12) If subsections (7) to (11) do not apply, and subject to
21 section 3238, the redemption period is 1 year, from the date of the
22 sale, **except as provided in section 3232(5)**.

23 (13) The amount stated in any affidavits recorded under this
24 section is the amount necessary to satisfy the requirements for
25 redemption under this section.

26 (14) The register of deeds of a county with a population of
27 more than 750,000 and less than 1,500,000, at the request of a
28 person entitled to redeem the property under this section, shall
29 determine the amount necessary for redemption. In determining the



1 amount, the register of deeds shall consider only the affidavits
2 recorded under subsections (2) and (4). A county, register of
3 deeds, or employee of a county or register of deeds is not liable
4 for damages proximately caused by an incorrect determination of an
5 amount necessary for redemption under subsection (2).

6 (15) A register of deeds may charge not more than \$50.00 for
7 determining the amount necessary for redemption under this section.

8 (16) For purposes of this section, there is a presumption that
9 the property is used for agricultural purposes if, before the
10 foreclosure sale under this chapter, the mortgagor provides the
11 party foreclosing the mortgage and the foreclosing party's attorney
12 proof that the mortgagor filed a schedule F to the mortgagor's
13 federal income tax form 1040 for the year preceding the year in
14 which the proceedings to foreclose the mortgage were commenced and
15 records an affidavit with the register of deeds for the county in
16 which the property is located stating that the proof has been
17 delivered. If the mortgagor fails to provide proof and record an
18 affidavit as required by this subsection before the foreclosure
19 sale, there is a presumption that the property is not used for
20 agricultural purposes. The party foreclosing the mortgage or the
21 mortgagor may file a civil action to produce evidence to rebut a
22 presumption created by this subsection. An action under this
23 subsection must be filed before the expiration of the redemption
24 period that would apply if the property is determined not to be
25 used for agricultural purposes.